

ZOMATO IPO

Old Promises vs. Current Performance (2021–2026)

PROMISES MADE DURING THE IPO

- Maintain market leadership in food delivery.
- Deliver high revenue growth. [innovacia.in]
- Expand into quick commerce and B2B supply. [innovacia.in]
- Utilize technology for maximum operational efficiency.
- Achieve long-term profitability.

POST-ISSUE PERFORMANCE

Zomato, originally known as "Foodiebay," was founded in 2008 by Deepinder Goyal and Pankaj Chaddah in India. What started as a simple online restaurant directory soon transformed into a comprehensive food discovery and delivery platform. The company expanded its services rapidly, establishing a strong presence in several countries around the world. [tracxn.com]

One of the key milestones in Zomato's journey was its acquisition of Urbanspoon in 2015, which allowed it to enter the highly competitive North American market. Over the years, Zomato has continued to innovate and diversify its offerings, including the introduction of Zomato Gold—a subscription-based dining program that offers exclusive discounts and privileges at partner restaurants.

Zomato made a historic debut on the Indian stock market, where its Initial Public Offering (IPO) was met with immense enthusiasm from investors. Zomato's shares were listed on both the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE).

As of September 28, 2023, the share price of Zomato was ₹99.95 on the NSE. The share price decreased by 0.15% (or ₹0.15) from the previous day's closing price of ₹100.10. The stock reached a high of ₹100.35 and a low of ₹99.30 during trading hours. The total volume of shares traded was 25,885,383, with a total value of ₹2,580 crore.

Financial Metric (Quarter Ended June 30, 2023)	Value / Reported Figure
Revenue	Scale of ₹9,340 crore
Net Loss	-₹3,560 crore
Earnings Per Share (EPS)	-₹0.91 (+150.19% Year-over-Year)
Net Loss Margin	-38.12% (Loss of ₹38.12 per ₹100 revenue)

The share price of Zomato is influenced by many factors, such as the company's earnings, growth, expansion, competition, regulation, and reputation. The share price can fluctuate significantly due to market sentiment, financial performance, and industry trends. It is important to check the latest stock prices and trends before making any investment decisions.

Zomato's performance in the food delivery industry has been noteworthy. The company's mobile app and website serve as a one-stop destination for users looking to explore restaurants, read reviews, place food orders, and make reservations. Zomato's delivery fleet ensures that food reaches customers' doorsteps swiftly, thereby enhancing convenience. [tracxn.com]

In recent years, Zomato has also transitioned into the grocery delivery segment to diversify its offerings. This move was particularly timely given the surge in demand for online grocery shopping during the COVID-19 pandemic, proving the company's resilience and ability to adapt to changing consumer preferences.

Zomato is actively involved in various segments, including food delivery, dining out, Hyperpure, and Zomato Pro. The company has been acquiring new customers and expanding into new markets within these segments to increase its market share and revenue. For example, Zomato significantly expanded its footprint by acquiring the quick-commerce platform Grofers (now Blinkit). [appreciatewealth.com]

The future of Zomato appears promising, driven by several structural factors. First, the increasing trend of dining out and ordering in is unlikely to wane, making food delivery platforms like Zomato indispensable. Additionally, Zomato's expansion into adjacent sectors, such as grocery delivery and cloud kitchens, opens up vital new revenue streams. Furthermore, Zomato's multi-country presence strengthens its position as a global player.